

A New Value Proposition for the AMA



Proposal

Implement a value-driven measurement system for healthcare to expand the membership, relevancy, and revenue potential for the AMA.

- To provide a unified vision for delivering sustainable value for patients, practitioners, and provider.
- To drive innovation & collaboration.
- To guide continuous improvement (quality and efficiency) across the continuum of care.

The Vision

Value

- Patient-Driven



Quality

- Practitioner-Driven



Results

- Provider-Driven



“Health care organizations are increasingly concerned with looking beyond financial performance measures, while focusing on how to deliver higher quality care “

- Love, Dianne, Revere, Lee, and Black, Ken. (2008), *Journal of Health Care Finance*

Current Challenges

- Eroding member base.
- Aging membership.
- Decline in revenues from membership.
- Not perceived as an innovation leader.
- Value across the continuum of care is not measured from a patient (customer) perspective.
- Healthcare is fractionalized and becoming more distributed.
- The government is trying to lead healthcare reform.
- Need for clear leadership to drive reform, innovation, and unification across the healthcare continuum.

“There should be no presumption that good quality is more costly. In health care...better providers are usually more efficient.”
- *Redefining Health Care*

AMA's Role in Healthcare Reform

- A relevant voice that should be heard by the government.
- Provide healthcare stakeholders with the following answers:
 - Practitioners are worried about quality, timeliness, and effort of care
 - Patients are worried about quality of care, loss of control, and cost
 - Providers are worried about loss of control and revenue
- Opportunity for unifying leadership to provide guidance and direction for change (much of which will be disruptive).
- Opportunity to encourage collaboration and cooperation to solve the healthcare needs in the US and across the world.
- Opportunity to create a “system” of healthcare guided by consistent value-driven metrics (outcomes).

Needs of the Patients

- To have affordable healthcare.
- To have attainable healthcare.
- To have more accessible healthcare.
- To have consistent levels of quality (results).
- To receive a total healthcare experience:
 - Ensure their functional outcomes met.
 - Ensure their emotional outcomes met.
 - Ensure their outcomes are met across the continuum of care (beyond the hospital, into clinics, and into the home).

“We continue to pay for lots of medical procedures that don't add to health value and in fact just add costs to the system..”

- Kathleen Sebelius

Needs of the Practitioners

- To improve diagnostic capabilities in a cost-effective manner.
- To improve clinical processes.
- To provide consistent levels of quality.
- To move beyond service, where they can deliver a positive experience.
- To be able to reliably measure value for their patients, for themselves as individual practitioners , and for their practices.

Needs of the Providers

- To get pharmaceutical and device manufacturers, insurers, and healthcare suppliers to become aligned, unified and collaboratively focused on a consistent set of outcomes.
- To increase collaboration NOT competition.
- To understand how to identify, measure and deliver value throughout the healthcare value network.
- To move towards a shared revenue model where everyone can still win, but not at the expense of others (esp. the patients & the public).

AMA at the forefront of Healthcare

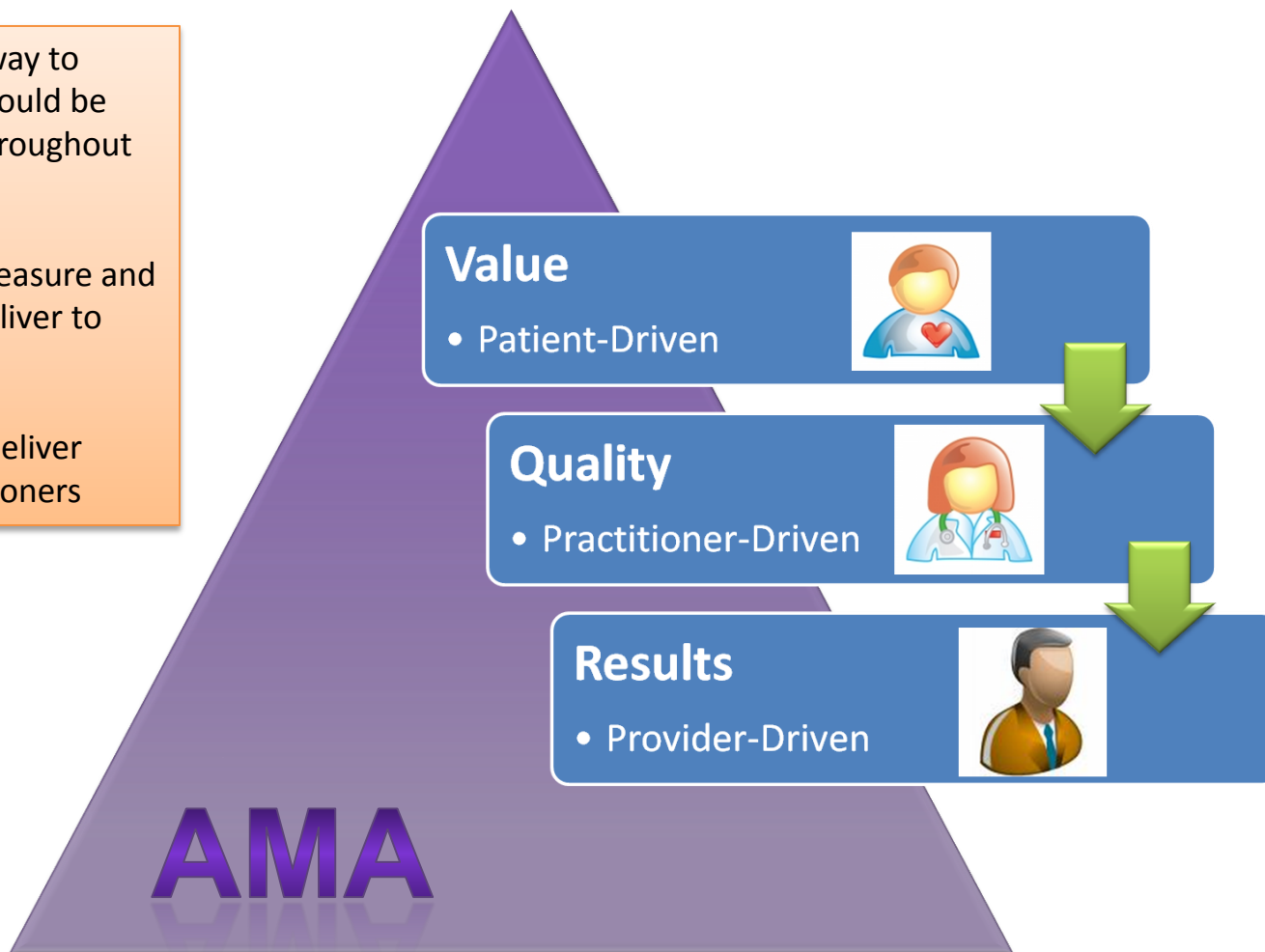
- Defining & delivering the prescription for healthcare reform should come from within healthcare (not the government).
- Creating a vision for a new healthcare system by forming a collaborative model with healthcare advocacy organizations, institutions, providers and practitioners.
- Providing the practitioners with a consistent set of benchmarks for measuring the value they deliver to patients.
- Driving open innovation among providers to create a more efficient process for guiding and creating value.
- Working collaboratively with the government to guide more efficient and effective funding that drives healthcare reform.

An Expanded Membership Model

Providing Patients with a way to measure the value they should be receiving for healthcare throughout the continuum

Guiding Practitioners to measure and optimize the value they deliver to Patients

Guiding the Providers to deliver value to Patients & Practitioners



Moving from Assumptions to Implementation

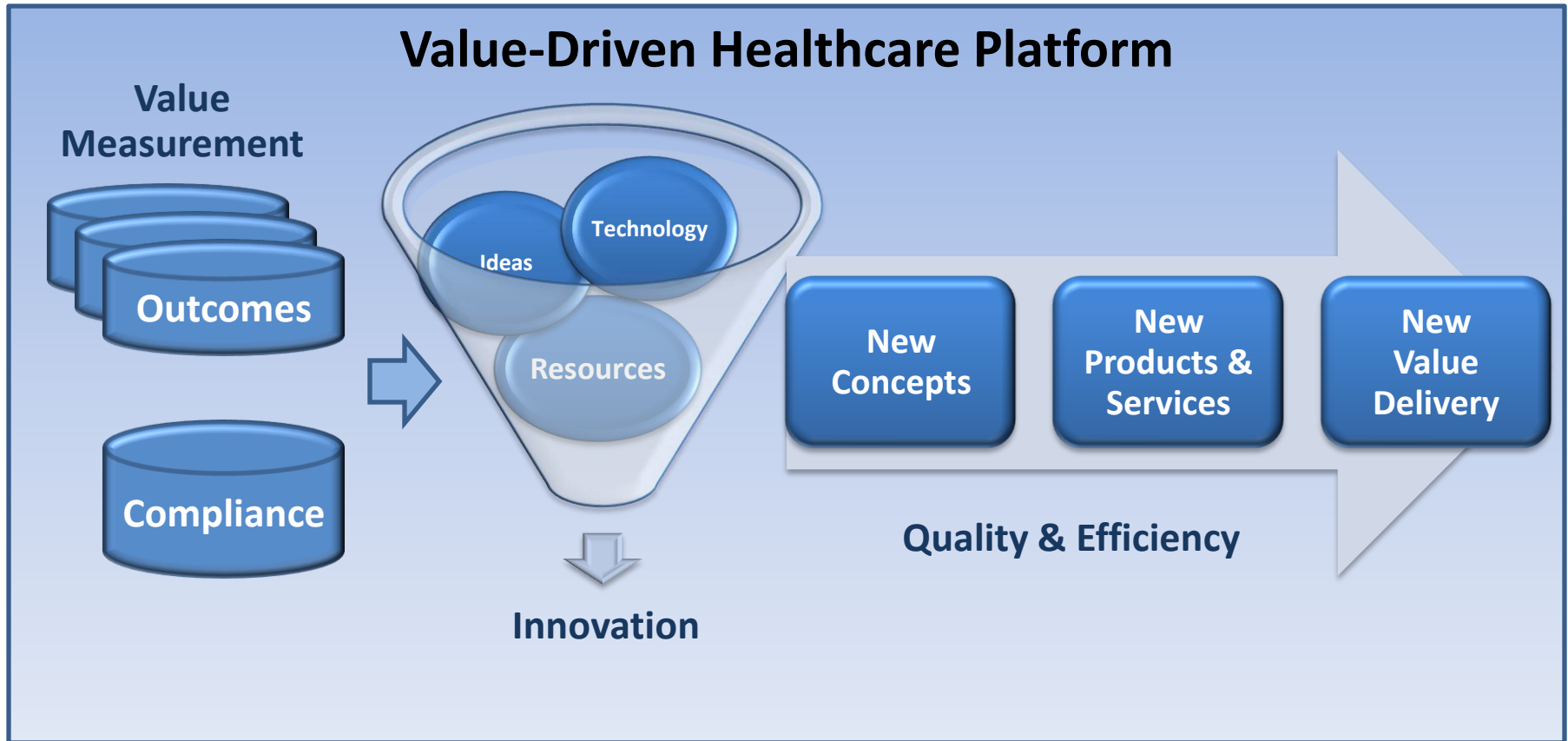
- Establish a program focused on mapping the Jobs & Outcomes across the healthcare domain.
- Build a portfolio of unmet needs (opportunities) for improving value delivery to patients and practitioners.
- Establish a prioritization model to direct resources in an efficient manner.
- Create an open innovation framework using the opportunities to generate ideas that can address the most important (prioritized) unmet needs.
- Establish a shared revenue model as part of a collaborative to address unmet needs.

Measuring Value for Healthcare

- Build a portfolio of jobs & outcomes:
 - For measuring value *
 - For driving innovation
 - For directing efforts to improve quality
 - For guiding initiatives to reduce cost

*** Value is created between the Patient & Practitioner**

Enabling Value for Healthcare



Value-Driven metrics are used to drive innovation & direct Quality & Efficiency

Thank You

Prepared by
Jeffrey Wallk (Managing Partner)
Helene Sigman (Strategic Partner)